

India's Stock Market Revolution

India is on the way to a \$45-trillion stock market, fuelled by rising investor participation, technological advancements, and economic growth

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A COMBINATION OF policy foresight, technological advancements, and a youthful demography is set to transform India's stock market by 2047. This growth is happening on the back of significant expansion that is being witnessed over the past two decades, largely driven by increased participation from domestic institutional investors (DIIs) and retail investors in the post-Covid period. To give an example, the market valuation of BSE-listed firms has surged 45 times, reaching over ₹450 lakh crore (\$5 trillion) as of August 2024, compared to ₹10 lakh crore in 2003.

If the economy continues to grow steadily, India's equity market could sustain this upward trajectory. Projections indicate that the Indian economy could reach \$30-35 trillion by 2047, assuming an 8-9% growth rate, potentially elevating India to developed economy status. With a market cap to GDP ratio of 1.5x, the market capitalisation of BSE-listed firms could hit \$45 trillion by 2047. Even with a more con-



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servative growth rate of 7-7.5%, the economy could be valued at \$15-20 trillion, quadrupling the market cap over the next 23 years.

However, this growth is not just about numbers; it also involves an increase in the number of investors and listed companies. Currently, India has around 170 million unique customer codes (UCCs), which could double or even quadruple by 2047. With a young population and along with it, rising disposable incomes, more individuals are likely to invest. According to NITI Aayog, per capita income is expected to reach \$18,000 by 2047, up from the current \$2,500.

The number of listed companies is also expected to triple, rising from 4,500 to around 12,000-12,500 by 2047, with more small and medium enterprises (SMEs) entering the market. At present, about 1,000 SMEs are listed, but with over 500,000 SMEs in India, even with a small percentage joining could significantly boost market growth. As India transitions into a developed economy, we could see full currency convertibility and the country emerging as a financial hub, with commodities and debt becoming major asset classes.

In this growth narrative, the role of regulatory advancements and that of the market regulator cannot be overstated. Over the past 20 years, the stock market has become more accessible, with democratised ac-